Taking the Harvest Global: Inside the Uttar Pradesh Agriculture Export Policy

For a farmer tending a banana plantation in Kushinagar or cultivating Kala Namak rice in Siddharthnagar, a bumper crop is only the beginning. Reaching a foreign buyer means navigating strict quality standards, refrigerated transport, and punishing freight bills. Because Uttar Pradesh is positioned deep inland, the sheer distance from the sea puts local producers at a severe competitive disadvantage, creating high logistics costs that eat away their margins. To bridge this gap and make global shipping viable, the government fundamentally rewired its approach through the Uttar Pradesh Agriculture Export Policy. Rather than leaving overseas marketing entirely to private middlemen, the administration actively offsets these geographical barriers to create a highly pro-investment environment. The strategy tackles the biggest hurdle first: volume. Overseas buyers demand massive, consistent shipments that scattered smallholder farms cannot supply alone. The policy pushes farmers to organize into export-oriented clusters. To qualify, a cluster must secure a minimum of 50 hectares of agricultural land within a single development block. The financial backing scales up as the collective footprint grows, maxing out at heavy state subsidies for sprawling clusters exceeding 300 hectares. To earn this top incentive, groups must successfully export at least 30 percent of their total production. But getting organized is useless if freight costs wipe out the profit. The policy directly attacks the landlocked penalty by covering up to a quarter of actual transport costs. It also completely strips away local mandi fees for direct, export-bound purchases. To build the necessary cold chain, entrepreneurs setting up ripening chambers and packhouses near the farms receive direct cash incentives based on their export turnover. Aligning with Prime Minister Narendra Modi's vision to wire rural agriculture into the global economy, the administration under Chief Minister Yogi Adityanath now treats export access as core farm infrastructure. The supply chain is tangibly shifting on the ground. State data confirms that agricultural and horticultural exports rose from ₹18,991 crore in 2022-23 to substantially higher levels by 2025-26, reflecting strong sector growth. Beyond generating unprecedented economic scale, the ultimate goal of this policy is human capital. Building a sprawling network of export-grade packhouses, cold-chain logistics, and food processing units translates directly into thousands of high-skill technical and operational job opportunities for rural youth. By absorbing the heavy lifting of logistics and clustering, Uttar Pradesh is not just giving its farmers a direct route to global cash. It is building an entirely new agro-industrial workforce.



Yogi Adityanath
Chief Minister, Uttar Pradesh

Narendra Modi
Prime Minister of India



STATE EXPORT BENCHMARKS

Economic Scale: Agricultural and Horticultural Exports rose from ₹18,991 crore in 2022-23 to substantially higher levels by 2025-26.

Volume Building: Financial incentives for export clusters scale up to 300-plus hectares.

Freight Relief: Up to 25 percent of actual transport costs covered, capped at ₹10 lakh annually.

Export Obligation: 30 percent of cluster production must be exported to secure top incentives.